# The Price of Flexibility

What PMEs value, what employers weigh, and where they meet

**Seonghoon Kim**

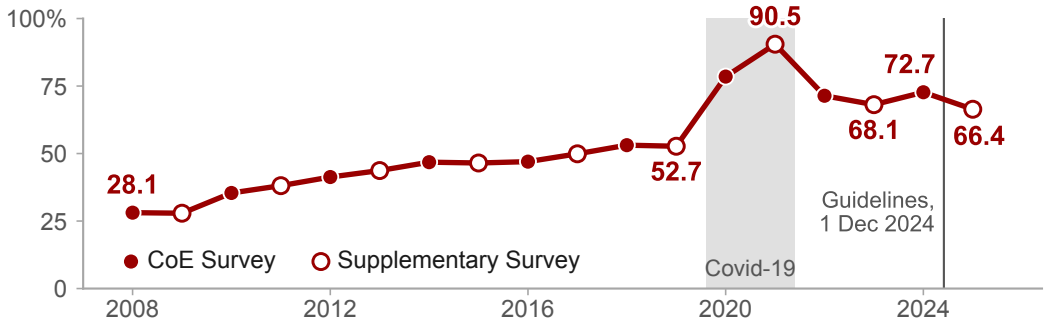
Singapore Management University

Joint work with the Singapore National Employers Federation (SNEF)

Preliminary findings for tripartite discussion | January 2027

# Flexible work is mainstream; the policy problem is fit

**Establishments (25+ staff, incl. public sector) offering a scheduled FWA, %**




Aggregate provision does not show whether firms offer the arrangements workers value.

**Source:** MRSD, MOM (Jun 2026).

▸ Labour supply ▸ Guidelines

# The open problem is fit, not whether a process exists

### Arrangement fit

Aggregate provision masks which arrangements are available, and whether they fit the worker and the role.

### Two sides, measured together

Worker value and employers' hiring reservations are rarely measured together.

### Barriers

Career, information and redesign barriers can block mutually beneficial use.

**Which arrangements create common ground, for which roles, and what blocks adoption?**

▸ Guidelines ▸ Partners

# Two-sided evidence remains limited

| | What it measures | What it finds | What we add |
|---|---|---|---|
| **Worker value** | Pay given up for a WFH option | About 4–8% of pay; Singapore 4.8% | Seven arrangements, one design |
| **Employer side** | Employers' expected costs; quits in a trial | Poland: workers give up 2.9%, employers expect a 21% wage cut. Hybrid trial: quits fell by a third | Employers' hiring choices, mirrored with PMEs' |
| **Singapore** | Which firms offer FWAs | Provision is widespread | Both sides' choices, after the Guidelines took effect |

**References:** Mas & Pallais 2017; Maestas et al. 2023; Aksoy et al. 2022; Lewandowski et al. 2023; Bloom et al. 2024; MRSD; Wang & Dong 2024.

▸ Benchmarks ▸ Trials

# Three zones, three policy moves

| Zone | PMEs give up | Employers require | Policy move |
|---|---|---|---|
| **A** **Common ground** | Some pay | About the same: no gap detected | → **Make it easier to try** |
| **B** **Depends on the role** | Some pay | A larger cut; varies with the role's tasks | → **Redesign and test by role** |
| **C** **Far apart** | More pay | A much larger cut | → **Pilot before scaling** |

**Career signal** · **redesign** · **information** can block use in any zone

▸ Methods ▸ Trials

# Two surveys, unweighted online panels

**1,020 PMEs**

Singapore citizens and PRs in or seeking PME roles

**Online panels, unweighted**

Fielded 4–21 Aug 2026

**397 employer respondents**

People involved in PME hiring or manpower decisions

**Online panel, unweighted**

Fielded 12 Aug–2 Oct 2026

## Employer respondents' firms, by staff size




Shares describe surveyed PMEs and firms, not national rates.

Sample

# Mirrored choices on a common FWA menu

| PMEs choose a job | | Common menu | Employers choose a hire | |
|---|---|---|---|---|
| **Job Offer A** | **Job Offer B** | | **Candidate A** | **Candidate B** |
| **+10%** vs own pay | **–10%** vs own pay | **Monthly pay** | **+10%** vs last PME hire | **–10%** vs last PME hire |
| Fully onsite | 1–2 days WFH | **Work location** | Fully onsite | 1–2 days WFH |
| Fixed hours | Compressed 4-day week | **Work schedule** | Fixed hours | Compressed 4-day week |
| Same in both: as in own job | | **Everything else** | Same in both: as in own firm | |

Two attributes differ in each choice; which ones, and their levels, are randomized.

▸ Choice cards ▸ Sample

# How we turn choices into values

## Illustrative choice task

Scenario 1 of 6

| | Job Offer A | Job Offer B |
|---|---|---|
| Monthly pay | **+10%** vs own pay | **–10%** vs own pay |
| Work location | Fully onsite | 1–2 days WFH |
| Work schedule | Fixed hours | Compressed 4-day week |

Workload, Job security, Workplace culture, Commute time: same for A and B (your current job)

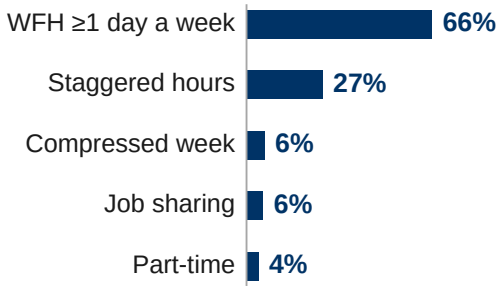
## How values are calculated

1. Choose A or B, six times
2. Estimate how pay and each FWA shift choices
3. Translate it into the **% of pay** each side would give up or require (indicative)

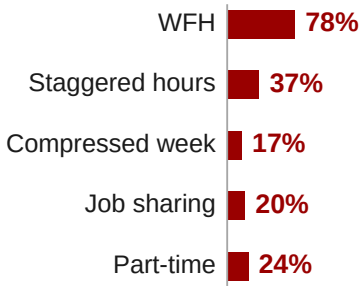
▸ Equations ▸ Validity

# WFH is the common FWA; the others are used far less

**Employed PMEs (n = 1,004)**
% using each arrangement




**Employers (n = 397)**
% offering it to PMEs

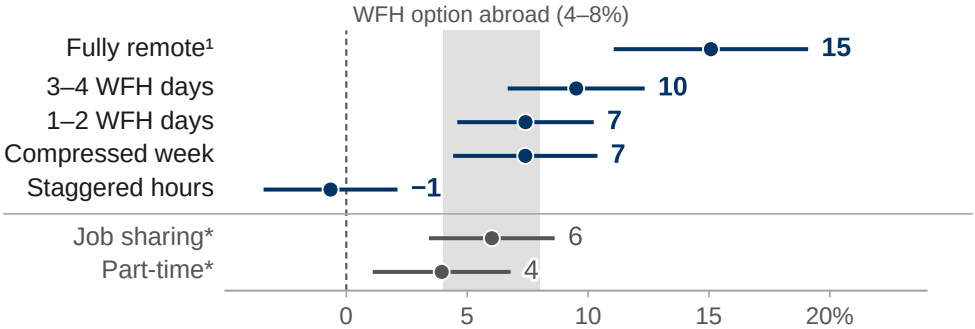



66% of employed PMEs use WFH and 27% staggered hours; compressed week, job sharing and part-time are each used by 4–6%.

Landscape Pathways

# PMEs strongly prefer hybrid work

**Pay PMEs would give up for each arrangement, % of monthly pay**



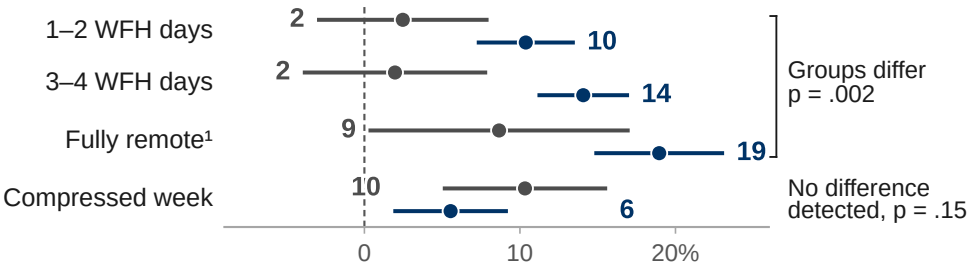

About 7–10% of pay for hybrid work: indicative, not a proposed pay cut.

* Hours change too, so not a price of flexibility. [1]Vs onsite with a long commute; includes the end of commuting.

▸ All estimates ▸ By commute

# Career concerns track lower demand for WFH

**Pay PMEs would give up, % of monthly pay**



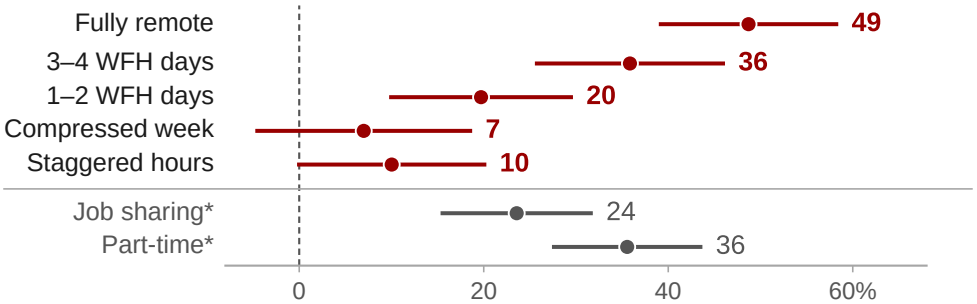

Consistent with a visibility concern; the career question was asked after the choices.

Penalty: expects flexible hours to hurt their career. [1]Vs onsite with a long commute; includes the end of commuting.

▸ All splits ▸ Career risk

# Employers rank fully remote last in hiring

**Pay cut employers would require for each arrangement, % of pay**

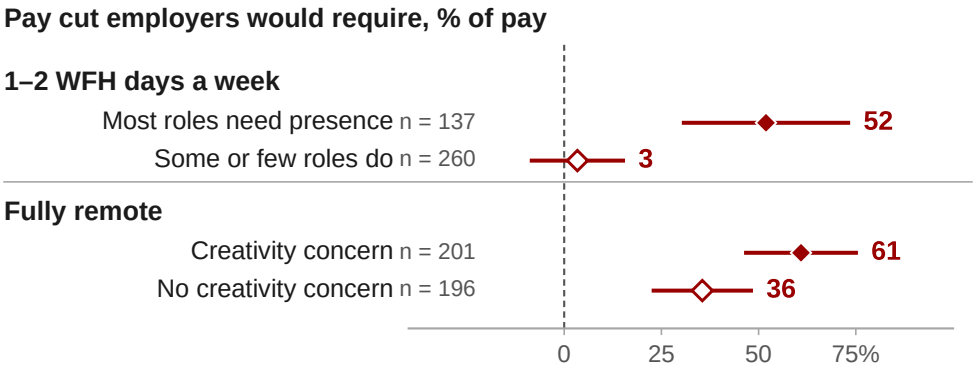



Read the ranking: fully remote work draws the largest cut.

* Hours change too. Cuts above 33% go beyond the pay gaps shown (17–33%).

All estimates | Salary lever

# Employer reservations vary with role needs and concerns

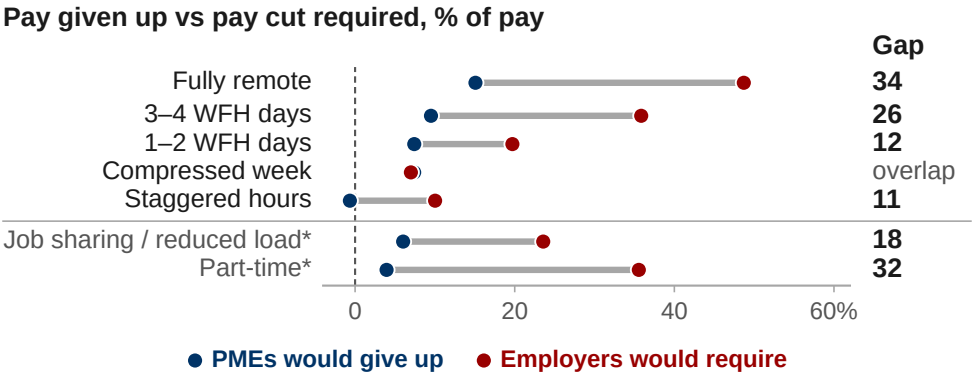



Preliminary associations (p = .02 and .14); both items were asked after the choices.

Filled: firms with the need or concern; hollow: other firms.

▸ Tests ▸ Concerns ▸ Employer view

# The two sides' values meet only for the compressed week

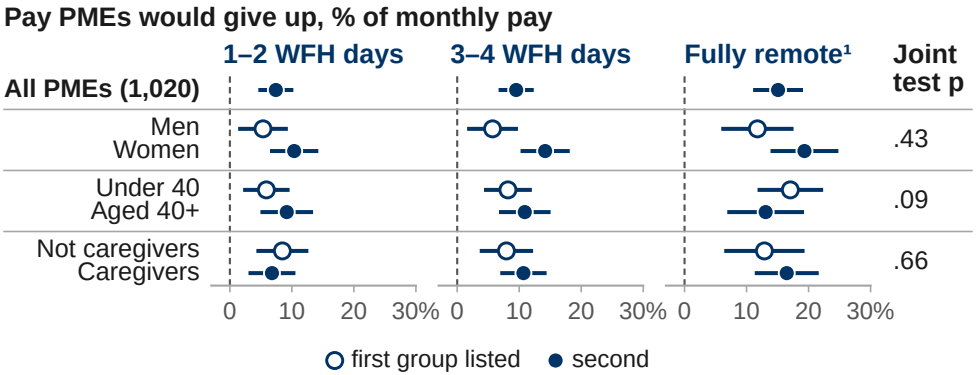



Compressed week: the most promising test; evidence moderate, operating costs unmeasured.

* Mostly pay for fewer hours. [1]Vs onsite with a long commute; includes the end of commuting. Employer cuts above 33% go beyond the pay gaps shown.

Gap table · Wording

# No subgroup difference detected after correction




Non-rejection is not equivalence; groups may still differ.

p: joint test that all pay values are equal across the groups. None of 198 subgroup contrasts survives correction. [1] Vs onsite with a long commute; includes the end of commuting.

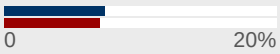
All groups All splits

# The compressed week: valued, rarely offered

## Both sides: about the same

**7%**

**vs 7%**

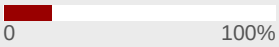



of pay: PMEs would give up vs employers would require

## Few firms offer it

**1 in 6**

**18%**

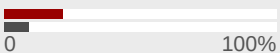



of surveyed firms offer it to PMEs

## Goes with a written FWA policy

**21.4%**

**vs 9.1%**

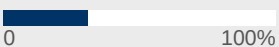



of firms with / without a written policy offer it

## Take-up where available

**1 in 3**

**31%**




of PMEs with access use it

This supports a voluntary, evaluated pilot, not a claim that adoption is costless.

Where only one option had it, the compressed week was the cheaper one in 83% of PME and 91% of employer pairs.

Offering · Pilot checklist

# We see outcomes for requesters, not why others do not ask

## Not conditional on asking

### Career concern

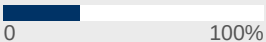
**45%**




of PMEs agree shorter or more flexible hours would hurt their career

### Know the Guidelines

**29%**

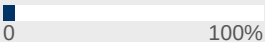



of junior PMEs are familiar with the Guidelines (all levels: 55%)

## Reported requesters

### Outright refusal

**4%**




of PMEs who report a formal request: a selected lower bound

Career concern covers all surveyed PMEs; refusals cover only reported requesters.

▸ Who expects ▸ Approvals

# Rankings are more credible than levels

| Check | Concern | Result |
|---|---|---|
| **Pay outliers; 1% trim** | Implausible pay | Arrangements: about 1 point or less, both sides |
| **Same-side answers** | Inattention | PMEs: about 1 point or less;<br>employers: up to 3 points |
| **Position term** | Left-option bias | Arrangements: at most 2 points, both sides |
| **Version clusters** | Only 60 choice situations | Holds, except employer staggered hours ($p = .15$) |
| **Rank pay model** | How pay enters | Fits about as well on both sides; same ranking |

Rankings hold; levels in % of pay are model-based (pay gaps were 17–33%).

▸ Validity ▸ Checks

# What the evidence says about each zone

| Zone | PMEs give up | Employers ask | Gap | Policy move |
|---|---|---|---|---|
| **A** **Common ground** Compressed week | 7% of pay | 7% of pay | None detected | **Voluntary, evaluated pilot (A)** |
| **B** **Depends on the role** 1–2 WFH days | 7% of pay | 20% of pay (52% where roles need presence) | 12 points | **Review tasks by role; flexi-load (B)** |
| **C** **Far apart** 3–4 WFH days; fully remote | 10% and 15% of pay | 36% and 49% of pay | 26 and 34 points | **3–4-day WFH pilot; test before scaling (C)** |

**Every zone:** no request counts, and why PMEs do not ask is not in published data **(D)**

Gap = employers' required cut minus PMEs' accepted cut. Indicative: employer cuts above 33% go beyond the pay gaps shown.

▸ Trials abroad ▸ Offering

# Options for the partners' decision

**Decision today: one measurement step (we propose D) and one bounded, voluntary pilot (we propose A), each with a lead.**

| Option | Owner and first step | Evidence strength |
|---|---|---|
| **A Pilot:** put compressed weeks on the written menu and test them | SNEF and volunteer firms | Moderate |
| **B Support:** review which tasks need presence; flexi-load where hours, not location, matter | Firms; MOM (PTRG review) | Moderate |
| **C Pilot:** 3–4-day WFH pilot in roles without presence needs | Volunteer firms; independent evaluation | Exploratory |
| **D Measure:** why-not-request and partial-approval survey items | MRSD, with NTUC and SNEF | Gap documented |

None requires a change to the Guidelines.

▸ Option A ▸ Survey items ▸ Pilot checklist

# What we cannot yet say

| Limit | What it means |
|---|---|
| **Stated choices** | Hypothetical offers; rankings are firmer than levels |
| **Online panels** | Unweighted; not national rates; no rank-and-file staff |
| **Employer task** | A hiring choice, not a staff request; operating costs unmeasured |
| **Few design cells** | 60 choice situations per side; pay gaps 17–33%; larger employer cuts are extrapolated |
| **Employer splits** | Preliminary associations; asked after the choices |
| **Request item** | Partly misread; why PMEs do not ask is unmeasured |

▸ All limits ▸ Next steps

# The decision we ask of the partners

**Decision sought today: one measurement step and one bounded, voluntary practice pilot, with a lead for each.**

## Take-away messages

1. PMEs strongly prefer hybrid work: the model implies **about 7–10% of pay** (indicative, not a pay cut)
2. Compressed week: **most promising common-ground test**; evidence moderate; operating costs unmeasured
3. Employers rank **fully remote last** in hiring: a ranking, not a salary price

We propose D (why-not and partial-approval items) and A (a compressed-week pilot).

▸ Follow-up ▸ Survey items

# Thank you

Questions and discussion

Seonghoon Kim · Singapore Management University
Joint work with the Singapore National Employers Federation (SNEF)

▸ Backup index

# Backup index: likely questions

## Policy and practice

- Did the Guidelines change outcomes?
- Should FWA requests be legislated?
- Is this a burden for smaller firms?
- How would a compressed-week pilot run?
- Why do some PMEs not ask?
- What next, and with whose consent?

## The evidence

- Is the career risk real?
- Are reservations about roles or concerns?
- Is the compressed-week result a design artefact?
- Can employer reservations be priced?

## The study

- Do stated choices predict behaviour?

▸ Full backup index ◂ Conclusion ◂ Thank you

# Full backup index


**Motivation and question**
Labour supply · Talent
Partners' evidence · Guidelines
Partner positions · Abroad

**Framework**
Evidence elsewhere · Zone rules
Validity of stated choices

**Data and design**
Sample · Industries
Governance · Choice cards
Pay gaps · Why not pay data

**Method**
Equations

**Practice today**
Landscape · Pathways

**PMEs**
All estimates · Commute
Benchmarks · All splits
By group · Access · Checks

**Employers**
Salary lever · Checks
Roles and concerns · Splits chart
Concerns · Own view; SMEs
No industry split

**Where the sides meet**
Raw choices · Compressed week
Pilot checklist · Flexi-load

**Barriers**
Who expects it · Career risk
On the Guidelines · Awareness
Approvals · Outcomes · Request rate

**Limits and next steps**
Limits · Next steps · Follow-up

**Options**
Option A B C D · D: items

**Technical appendix**
11 employer tests · Wording
Employer % of salary · Gap

**PME groups**
Gender · Age · Care
Role · Education

**PME checks**
Same-side · Trim



▸ Likely questions ◂ Thank you

# Keeping people in work matters more

**67.9%**
resident participation, 2025 (fourth straight fall)

**3.2 → 2.7**
residents 20–64 per resident 65+, 2026 to 2030 (projected)

**133,500 → 72,500**
outside the labour force mainly to give care, 2019 to 2025

**80.5%**
female participation, ages 25–64 (2025)

**< half**
who needed part-time work got it (2024; COS 2026)

**5.9% vs 13.7%**
share of all women 25–64 in part-time work: Singapore (2025) vs OECD (2024)

**Sources:** MRSD Labour Force in Singapore 2025; Population in Brief 2026; MOM COS 2026; Labour Market Report 2Q 2026 (1.48 vacancies per unemployed person, Jun 2026). We survey PMEs in or seeking work, not carers outside the labour force. Checked 6 Oct 2026.

◂ Motivation

Backup index

Backup B3

# What FWAs offer firms seeking talent

## What we observe

- 52% of surveyed firms had difficulty filling PME roles last year
- 66% say FWAs help attract and retain talent; 26% plan to expand them
- PMEs value hybrid at $\approx$ 7–10% of pay, a compressed week $\approx$ 7% (indicative)
- Pay comes first: at 17–33% gaps, 3 in 4 chose the better-paid offer

## Elsewhere

- Singapore: 65.9% of firms offering scheduled FWAs report better retention (employer-reported, mid-2024)
- A six-month hybrid trial abroad cut quits by one-third

## What we cannot say

- Whether firms offering FWAs hire faster or keep staff longer

FWAs add to the reward package; not a basis for setting pay.

◂ Motivation ◂ Employers

Backup index

Backup B4

# Partners' evidence and ours

| Source | They found | We find |
|---|---|---|
| **MOM, Working Conditions 2024** | ≈94% of requests approved; 18.5% ask formally | 4% of PMEs' formal requests declined outright (a lower bound) |
| **MOM, CoE 2024** | Firms with scheduled FWAs report gains: engagement 69.5%, retention 65.9%, productivity 59.9% | 66% of employers: FWAs help attract and retain talent |
| **PAP Women's Wing–NTUC (2025)**[a] | 36% name stigma the main concern; 58% aware; 89% of formal applicants approved, fully or with changes | 45% expect a career penalty; 83% aware (55% familiar); 96% of formal requests approved, fully or partly |
| **SUSS×SNEF (2024)** | 81% felt prepared; 22% thought they must approve every request | 58% of employers familiar; 36% more have heard of them |

[a]Online, N = 1,508; sampling not published. MOM (PQ, 2026): ≈6% of FWA users report a 2025 career setback (experience, not expectation). Populations and questions differ: read as direction.

◂ Motivation ◂ Barriers

Backup index

Backup B5

# The Guidelines: process, not outcome

**1. Request**
In writing by default

→ **2. Proper consideration**
On business needs

→ **3. Written decision**
Within 2 months; reasons if declined

In effect from 1 Dec 2024 for employees past probation. Cost, productivity and feasibility can be reasonable grounds to decline; custom or disbelief in FWAs cannot. TAFEP takes an educational approach, guiding employers to comply (MOM, 2026).

## MOM indicators, 2024 data: not one funnel; definitions differ

**84.5%**
who needed a scheduled FWA got one they needed

**≈ 94%**
of requests approved; base not defined

**18.5%**
of those in need asked formally; 26.3% informally

Full-time residents aged 25–64, almost entirely before the Guidelines; MOM reads the gap as "frictions", not employer resistance. Firms need not report requests to MOM. Establishments (25+ staff) offering a scheduled FWA: 72.7% (Jun 2024), 66.4% (Jun 2025; another MOM survey; not attributed to the Guidelines).

**Sources:** Tripartite Guidelines (2024); MRSD (May and Jun 2026); MOM PQ replies (2025–26); COS 2026. Checked 6 Oct 2026.

◂ Question ◂ Motivation

Backup index

Backup B6

# What each partner has said

- **MOM:** reads the need-request gap as “frictions … rather than employer resistance”; at COS 2026 called a proposal to make the Guidelines law, and FWAs a presumptive right for parents of young children, “too blunt”, as business needs differ by industry and role.
- **SNEF:** endorses the Guidelines on three principles: outcomes stay the employer’s prerogative; FWAs must not harm productivity or service quality; not every role suits every FWA. SUSS×SNEF (367 firms, 2024): 81% felt prepared.
- **NTUC:** FWA access is often the main consideration for caregivers, women and senior workers in staying in or returning to work. PAP Women’s Wing–NTUC survey (online, N = 1,508; sampling not published): 36% named stigma their primary concern in requesting an FWA (most cited).

**Sources:** MRSD (2026); MOM COS 2026 (3 Mar 2026); SNEF statement (23 Apr 2024); SUSS–SNEF (2025); MOM release (16 Apr 2024); PAP Women’s Wing, NTUC (Mar 2026).

◂ Question

Backup index

Backup B7

# FWA request rules elsewhere

- **Singapore:** tripartite guidelines on the process, not the outcome; TAFEP takes an educational approach.
- **Great Britain:** statutory right to request from day one (since Apr 2024); decision within 2 months; refusal only on eight listed business reasons; a tribunal if a request is not handled reasonably, not merely if refused. Employment Rights Act 2025 changes due in 2027.
- **Australia:** eligible employees (e.g. parents, carers, 55+); written reply within 21 days; refusal only on reasonable business grounds; the Fair Work Commission can arbitrate and, as a last resort, order it granted. **New Zealand:** any employee; reply within 1 month; eight listed grounds; disputes cover process only. In both, most requests are informal.
- **Why guidelines here:** the Workgroup judged legislation risks an acrimonious workplace culture; at COS 2026, MOM called legislating the Guidelines, with a presumptive FWA right for parents of young children, too blunt.

**Sources:** MOM COS 2026, FAQ (Jun 2026); Workgroup report (2024); gov.uk/flexible-working; Fair Work Act 2009 ss65–65C; Employment Relations Act 2000 (NZ) Part 6AA. Checked 6 Oct 2026.

◂ Options ◂ Question

Backup index

Backup B8

# Evidence elsewhere: concerns and trials

- **Poland, two-sided experiment:** workers give up 2.9% of pay for remote work; employers expect a 21% wage cut, mostly for lost productivity (Lewandowski et al., IZA DP 16041, 2023; hybrid and fully remote pooled). ILR Review (2026) version: gaps $\approx$5% (hybrid), 25% (fully remote).
- **Randomised hybrid trial** (two days a week; 1,612 graduates, one Chinese firm): quits fell by one-third over six months; over two years, reviews were unaffected and promotions showed no statistically significant difference; managers' productivity view: $-2.6\%$ to $+1.0\%$ (Bloom, Han & Liang, Nature 2024).
- **Singapore firms offering scheduled FWAs:** 69.5% report better engagement, 65.9% retention, 59.9% productivity (employer-reported, mid-2024; MRSD).
- **Fully remote:** evidence is mixed and job-dependent; several studies find lower productivity, partly reflecting who selects into remote jobs (Barrero, Bloom & Davis 2023; Emanuel & Harrington 2024).

Other settings; read as context. Trip.com trial: co-author James Liang co-founded and chairs Trip.com.

◂ Framework ◂ Discussion

Backup index

Backup B9

# How the zones are set

| Zone | Rule (gap = employers' cut minus PMEs' give-up) | Arrangements |
|---|---|---|
| **A Common ground** | Employers' required cut is about what PMEs would give up (7% and 7%); the gap is not distinguishable from zero | Compressed week |
| **B Depends on the role** | Gap about 12 points (CI 2 to 23); employers would require about 52% where most roles need presence, 3% where only some or few do | 1–2 days WFH |
| **C Far apart** | Gaps of about 26 and 34 points; employers would require 36% and 49% of pay, PMEs would give up 10% and 15% | 3–4 days WFH; fully remote |
| **Little at stake** | PMEs give up about 0; employers would require about 10% (not robust) | Staggered hours |
| **Pay for hours** | Fewer hours at the same pay; employer cuts ≈ pro-rata | Part-time; reduced load |

Descriptive labels. Values in % of pay, indicative; employer cuts above 33% go beyond the pay gaps shown. Role split preliminary (p = .02), asked after the choices.

◂ Two sides ◂ Framework

Backup index

Backup B10

# Do stated choices predict real choices?

| | |
|---|---|
| **Maestas et al.** (AER 2023) | US workers, up to 3 years on: 977 of 1,738 (56%) matched; kept vs lost an amenity: +4.1 pp (1% level); gained: +1.7 pp (n.s.) |
| **Wiswall & Zafar** (QJE 2018) | NYU students, about 4 years on (59 working): 6 of 6 links to actual jobs with the expected sign, 3 significant at 5%; joint test of no link p = .012 |
| **Mas & Pallais** (AER 2017) | Call-centre applicants: WFH 8.4% of pay, survey (reweighted to field commute times) vs 7.8%, field; scheduling 2.5% vs 2.8% |
| **Hainmueller et al.** (PNAS 2015) | Swiss voters: paired conjoint (best of 5 designs) within 2 pp of referendum effects on average (21 effects); levels missed (21% vs 37% rejection) |
| **Health DCE meta-analyses** | Opting in predicted well; opting out weakly (pooled specificity 34–52%) |

- **Rankings hold best:** direction right and, in one direct test, relative size; our ranking is the firmest result.
- **Levels less so:** rates predicted less well, money values mixed; our % of pay values are indicative.
- **Our design:** one cross-section; pay gaps of 17–33% only; no link yet to behaviour.

**No cited study validates employer hiring choices of this form; our follow-up addresses only part of that gap.**

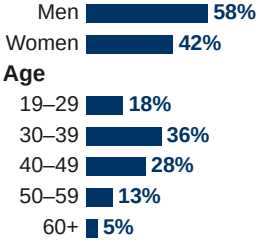
Maestas: split by amenity status; mean of 12 amenities.

◂ Estimation ◂ Robustness

# Who answered

## PMEs (n = 1,020)

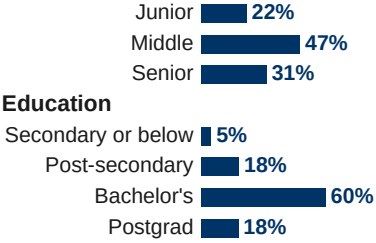
### Gender




### Age




### Role



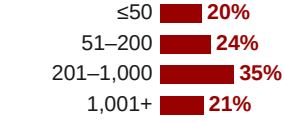

### Education



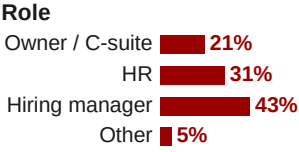

3 PMEs (0.3%) gave no gender.

## Employers (n = 397)

### Firm size (staff)

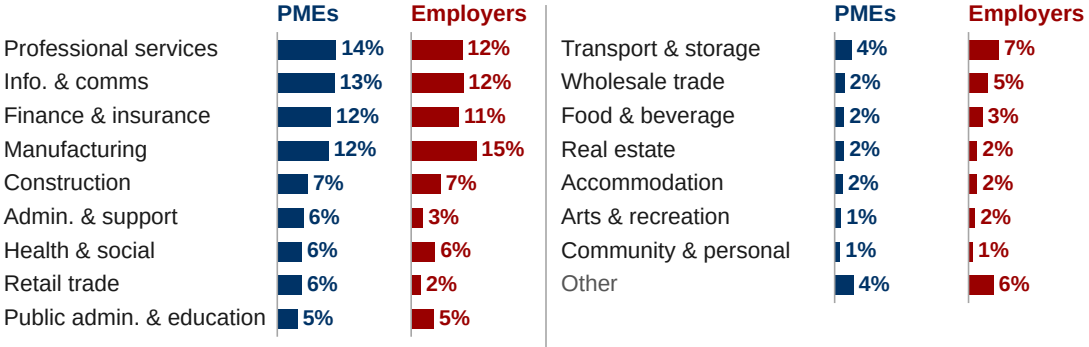



### Role




Unweighted online panels.

# Respondents span the main industries




% of each sample; sorted by PME share.

Employed PMEs (n = 1,004), employers (n = 397). Unweighted.

Data

# Study governance

| Item | Status |
|---|---|
| Ethics (SMU IRB) | Category 1, exempt from further review: IRB-26-069-E012(326), 19 Mar 2026 |
| Partnership | Joint work with SNEF |
| Funding | **[PI to confirm]** |
| Survey and design roles | **[PI to confirm]** |
| Custody of identifiable data | **[PI to confirm]** |
| Custody of de-identified data | **[PI to confirm]** |
| Who ran the analysis | **[PI to confirm]** |
| Right to publish | **[PI to confirm]** |
| Partner delay or veto rights | **[PI to confirm]** |

Both surveys told respondents that SNEF would use the results to inform workplace flexibility policy. Items marked [PI to confirm] need written agreement before external use.

◂ Data ◂ Conclusion

Backup index

# Nearly the same cards on both sides

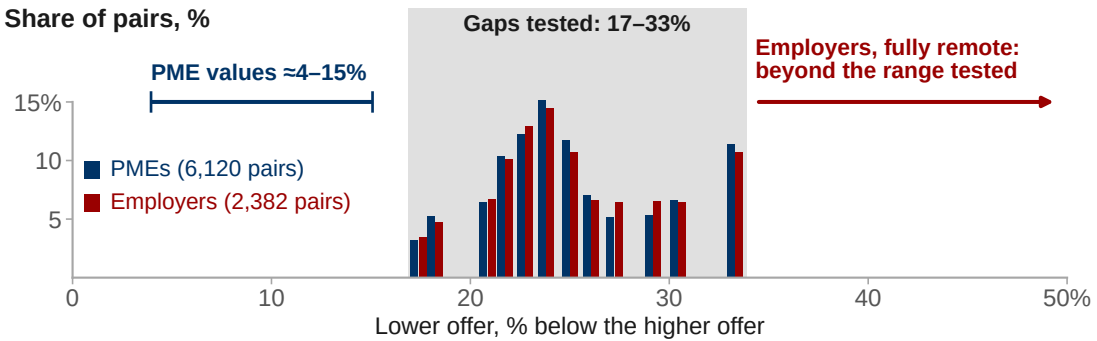
| Attribute | PMEs (job offers) | Employers (candidates) |
|---|---|---|
| **Salary** | Own salary $\times$ multiplier | Latest PME-hire salary $\times$ multiplier |
| **Location** | Onsite; 1–2 WFH days a week; 3–4 days; fully remote | Same |
| **Schedule** | Fixed 9am–6pm; staggered; compressed 4-day week (same hours, longer days) | Same |
| **Workload** | Full-time (35–44 h); *job sharing (4 days)*; part-time ($<$35 h) | Full-time; *reduced load (4 days)*; part-time |
| **Risk** | Job loss (low / moderate / high) | Turnover (low $<$10% / moderate / high $>$20%) |
| **Other** | Culture; commute | Culture |
| **Design** | 6 forced choices between 2 options; each pair differs in salary and two attributes, the rest held at the respondent's own practice. Multipliers 0.80–0.95 vs 1.05–1.20, closest pairs never drawn: every gap is 17–33%. 10 versions. | |

Employers were told both candidates are equally qualified.

◂ Design

Backup index

# Every pair differed in pay by 17–33%




Pay gap within each choice pair. PME values (≈ 4–15% of pay) lie below this band and the employer estimates for 3–4 WFH days, fully remote and part-time above it: both extrapolate beyond the gaps shown.

◂ Design ◂ Estimation

Backup index

Backup B16

# Pay data cannot price flexibility

| Current arrangement (vs onsite / full-time) | Observed pay difference, % | Value in the experiment, % of pay |
|---|---|---|
| 1–2 days WFH | +37 | ≈7 |
| 3–4 days WFH | +36 | ≈10 |
| Fully remote[1] | +42 | ≈15 |
| Part-time | −53 | ≈4 |

Observed: log current pay on current arrangement, with job and personal controls (N = 991 employed PMEs). FWAs sit in better-paid jobs and part-time hours are fewer, so these differences are not prices.
[1] Experiment: vs onsite with a long commute. Grey = indicative.

Log salary on current arrangement, controlling for age, gender, education, residency; employed PMEs. It shows who has flexibility (FWAs sit in better-paid jobs), not its worth; the experiment isolates the trade-off.

◂ Design

Backup index

Backup B17

# Equations and inference

$$U_{ijt} = \beta_w \ln w_{ijt} + \sum_k \beta_k x_{kijt} + \varepsilon_{ijt}$$

Conditional logit per side; SEs clustered by respondent.

**Pay given up:** $100\,[1 - \exp(-\beta_k/\beta_w)]$

For PMEs ($\beta_w > 0$), the pay they would give up for $k$; for employers ($\beta_w < 0$), the pay cut they would require of a candidate who wants $k$. Positive = a pay cut. Indicative: gaps shown were 17–33%, and a which-paid-more indicator fits about as well.

**Gap: employers' cut − PMEs' give-up**

Positive = friction. Its 95% interval combines both sides' delta-method standard errors (independent samples). Employer cuts above 33% go beyond the pay gaps shown, so gaps are indicative.

- **Tests:** 60 choice situations per side, so intervals may be too narrow. Benjamini–Hochberg by family: 198 PME contrasts, 7 PME mechanisms, 11 employer split tests.
- **Pay slopes:** group splits use a separate pay slope for each group. Employers' role and concern items were asked after the choices, so these splits are preliminary associations.
- **Checks:** without outliers, the top and bottom 1% of income or same-side respondents, or with a position term, PME values move $\leq$1.3 points and employer values $\leq$2.5. To fix: task-1 coding ($\approx$0.5 point, remote).

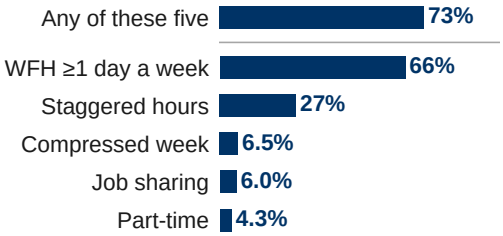
$i$ respondent, $j$ option, $t$ task; $w$ pay shown; $x_k$ arrangement level $k$. McFadden (1974).

◂ Estimation ◂ Framework

# Flexible work today: PMEs and firms

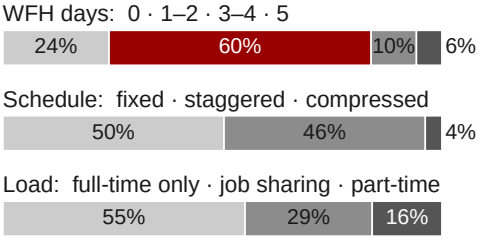
## PMEs: current use

% of employed PMEs




## Employers: typical PME arrangement

% of employers




Take-up: WFH 87% · staggered 69% · compressed 31% · job sharing 27% · part-time 26%
Take-up = % using it among those with access (available or used).

Shares describe surveyed PMEs and firms, not national rates.

Practice Puzzle

Backup index

# Most FWAs come via policy or request

| PMEs: how FWA was set up (N = 869) | % | Employers (N = 397) | % |
|---|---|---|---|
| Company-wide policy (automatic) | 43 | Written policy: all firms | 70 |
| Individual request | 30 | ... 200 or fewer staff | 63 |
| Informal, with manager | 18 | ... 201–1,000 staff | 73 |
| Negotiated in contract | 5 | ... 1,001 or more staff | 78 |
| Don't know | 5 | ... size test (p) | .027 |
| | | Got formal requests: with policy[1] | 68 |
| | | ... without policy | 19 |

[1] Firms aware of the Guidelines.

PMEs with an FWA; employers' written policy by size, and requests received by policy.

◂ Practice ◂ Barriers

Backup index

Backup B20

# All PME estimates, % of pay

| Level (vs base) | % of pay | 95% CI | Status |
|---|---|---|---|
| 1–2 days WFH (onsite) | ≈7 | 5–10 | Direction robust |
| 3–4 days WFH (onsite) | ≈10 | 7–12 | Direction robust |
| Fully remote (onsite, long commute) | ≈15 | 11–19 | ≈12 vs moderate, ≈8 vs short commute |
| Staggered hours (fixed hours) | ≈0 | −3 to 2 | Robust: about zero |
| Compressed week (fixed hours) | ≈7 | 4–10 | Direction robust |
| Job sharing (full-time) | ≈6 | 3–9 | Hours change: not a price |
| Part-time (full-time) | ≈4 | 1–7 | Hours change: not a price |
| Low job-loss risk (high) | ≈5 | 0–10 | *not robust*: ≈2 (n.s.) with position term; ≈9 excl. same-side |
| Collaborative culture (hierarchical) | ≈10 | 5–14 | Context: ≈7 with position term; one task only |
| Short commute (long commute) | ≈8 | 3–13 | Context only |

Base level in brackets. N = 1,020. Magnitudes are model-based (pay gaps shown: 17–33%). Grey = indicative.

Indicative: pay gaps shown were 17–33%. Fully remote is vs a long commute; vs a moderate commute, ≈ 12% (commute).

◂ PMEs

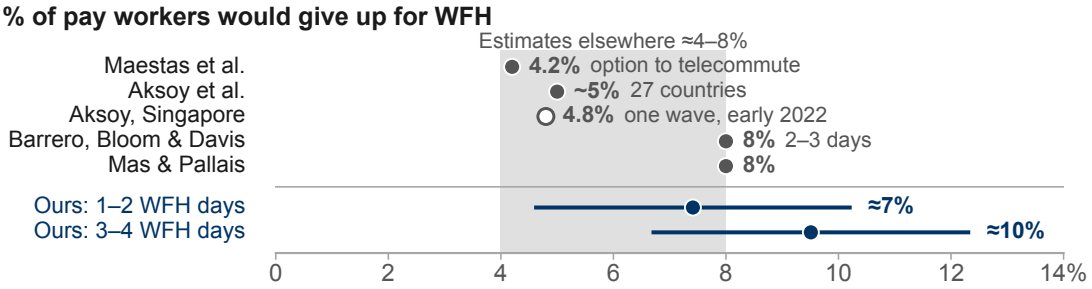
# Fully remote valued against any commute

| Fully remote, compared with onsite work with . . . | % of pay given up [95% CI] |
|---|---|
| **a long commute (>45 min)** (main estimate) | 15.1 [11.1, 19.1] |
| a moderate commute (15–45 min) | 12.2 [9.0, 15.5] |
| a short commute (<15 min) | 7.5 [2.9, 12.1] |
| the commute shown in the survey (average) | 12.7 [9.8, 15.6] |

Fully remote removes the commute, so its value depends on the commute it is compared with; the main estimate uses a long commute. Employers saw no commute. Average: weighted by the commute shown to each PME (short 3.7%, moderate 72.9%, long 23.3%). Grey = indicative.

◂ PMEs

# PME values at or above estimates abroad




Ours: indicative; lines = 95% CI. Poland, two-sided (IZA DP 2023; hybrid and remote pooled): workers give up 2.9%, employers expect a 21% wage cut.

Not like-for-like: populations, methods and definitions differ. Maestas et al. (AER 2023); Aksoy et al. (BPEA 2022); Barrero, Bloom & Davis (JEP 2023); Mas & Pallais (AER 2017); Lewandowski et al. (IZA DP 16041, 2023; ILR Review 2026: ≈ 5% hybrid, 25% fully remote).

◂ PMEs ◂ Literature

Backup index

Backup B23

# PME splits: one survives correction

| Split (A / B) | n | 1–2 days | 3–4 days | Remote[a] | Compr. | p | p compr. | q |
|---|---|---|---|---|---|---|---|---|
| Career penalty: y / n | 455 / 565 | 2 / 10 | 2 / 14 | 9 / 19 | 10 / 6 | .002 | .15 | .012 |
| Commute $>$ / $\leq$45 min | 305 / 681 | 6 / 8 | 10 / 8 | 11 / 22 | 6 / 8 | .015 | .54 | .051 |
| WFH now: y / n | 666 / 338 | 9 / 5 | 12 / 5 | 19 / 10 | 8 / 6 | .094 | .50 | .22 |
| Pay $>$ / $\leq$S$6,000 | 408 / 435 | 8 / 7 | 11 / 10 | 17 / 13 | 9 / 6 | .77 | .33 | .77 |
| Public / local / MNC | 171/383/412 | 8/9/7 | 6/11/9 | 21/15/14 | 7/7/8 | .68 | .93 | .77 |
| Tenure: 3+ / $<$3 years | 805 / 199 | 7 / 6 | 9 / 12 | 15 / 15 | 7 / 8 | .62 | .69 | .77 |
| Mothers, child 0–6 / rest | 108 / 912 | 11 / 7 | 17 / 9 | 21 / 14 | 7 / 7 | .33 | 1.00 | .58 |

**Reading:** only the career-concern split survives correction (location); about 40% of its gap could be choice noise, and it was asked after the choices.

% of pay given up, group A / group B. p: test that the three location values are equal across groups (group-specific pay slopes); p compr.: same for the compressed week; q: Benjamini–Hochberg over the splits. Compr. = compressed week. [a]Fully remote vs onsite with a long commute; includes the end of commuting.

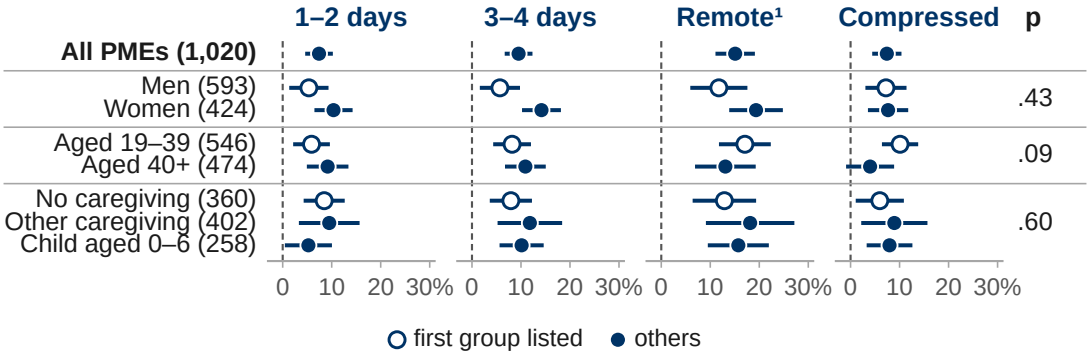
◂ Career concerns ◂ PME groups

Backup index

Backup B24

# No group difference established

**Pay PMEs would give up, % of monthly pay**




Joint tests that all pay values are equal across groups: gender p = .43, age .09, care .66; none of 198 contrasts survives correction. [1]Vs onsite with a long commute; includes the end of commuting. Detail: gender, age, care, role, edu.


PME groups | Career concerns

Backup index

# Valued more where offered? Not robust

| Arrangement | Offered | Not offered | Difference | Take-up, % |
|---|---|---|---|---|
| WFH (any level) | valued equally either way (joint p = .84) | | | 87 |
| Staggered hours | ≈0 | ≈−2 | n.s. (p = .60) | 69 |
| Compressed week | ≈15 | ≈6 | +9 (p = .004), *not robust*[1] | 31 |
| Compressed, separate slopes[1] | – | – | +5.5 [−4.4, 15.4] (p = .27) | |
| Job sharing | ≈7 | ≈6 | n.s. (p = .82) | 27 |
| Part-time | ≈15 | ≈2 | +13 (p <.001), *not robust*[2] | 26 |

% of pay, one pay slope for both groups. [1] *Not robust*: the compressed week was usually the cheaper option; with separate pay slopes the gap is not statistically significant. [2] Not re-estimated; part-time was also usually the lower-paid option, so also treated as not robust. Associations, not causes. N = 983 employed PMEs. Take-up = use among those with access. Grey = indicative.

The gap is statistically significant only under a common pay slope. PMEs with access are less pay-sensitive (log-pay coefficient 2.79 vs 4.70); the compressed week was cheaper in 83% of PME pairs. Experience and sorting cannot be told apart.

◂ Puzzle ◂ Groups

Backup index

# PME values stay positive

| | Main | Excl. outliers | 1% trim | Excl. same-side | Position term | Version CI |
|---|---|---|---|---|---|---|
| N | 1,020 | 891 | 1,007 | 947 | 1,020 | 1,020 |
| 1–2 days WFH | ≈7.4 | ≈7.4 | ≈7.4 | ≈6.5 | ≈7.9 | 5–10 |
| 3–4 days WFH | ≈9.5 | ≈10.2 | ≈9.5 | ≈9.1 | ≈10.0 | 5–14 |
| Fully remote[1] | ≈15.1 | ≈14.8 | ≈14.9 | ≈14.8 | ≈15.8 | 11–19 |
| Compressed week | ≈7.4 | ≈7.6 | ≈7.4 | ≈8.2 | ≈6.7 | 4–11 |
| Staggered hours | ≈−0.7 | ≈−0.6 | ≈−0.8 | ≈−0.5 | ≈0.6 | −5–3 |
| Job sharing | ≈6.0 | ≈6.3 | ≈6.3 | ≈5.5 | ≈5.9 | 3–9 |
| Part-time | ≈3.9 | ≈4.9 | ≈4.2 | ≈2.9 | ≈5.1 | 2–6 |

% of pay given up. Version CI: 95% CI clustered by survey version. [1]vs onsite with a long commute; includes the end of commuting. Grey = indicative.

Outliers: implausible salaries dropped; same-side: always chose one side. Values stay positive (staggered ≈ 0) and significant at 5%, except part-time without same-side respondents; most move ≈ 1 point (trimming).

◂ Robustness ◂ PMEs

Backup index

Backup B27

# Employer values hold in every sample

| | Main | Excl. outliers | 1% trim | Excl. same-side |
|---|---|---|---|---|
| N | 397 | 392 | 391 | 381 |
| 1–2 days WFH | ≈19.7 | ≈19.7 | ≈20.2 | ≈18.9 |
| 3–4 days WFH | ≈35.8 | ≈35.7 | ≈36.1 | ≈35.3 |
| Fully remote | ≈48.7 | ≈48.8 | ≈49.0 | ≈47.5 |
| Compressed week | ≈7.0 | ≈7.2 | ≈6.4 | ≈4.4 |
| Staggered hours | ≈10.0 | ≈9.2 | ≈8.9 | ≈10.5 |
| Reduced load | ≈23.6 | ≈23.6 | ≈23.5 | ≈23.4 |
| Part-time | ≈35.5 | ≈35.2 | ≈34.9 | ≈34.0 |

% pay cut employers would require. Outliers: implausible salaries (salary_out) excluded; 1% trim: top and bottom 1% of income dropped; same-side: respondents who always chose one side excluded. Pay gaps shown: 17–33%; larger values extend beyond them. Grey = indicative.

Cuts for 1–2 days, 3–4 days, fully remote and reduced load or part-time stay statistically significant in every sample; the compressed week stays near 7 and is not distinguishable from zero. Moves are ≈ 1 point, up to 2.5 without same-side respondents. Main results use all 397 firms.

◂ Robustness ◂ Employers

Backup index

Backup B28

# Why employer % is secondary

| | PMEs | Employers |
|---|---|---|
| Chose the better-paid option, %[1] | 75 | 58 |
| ... by gap tercile (small/mid/large) | 74 / 76 / 74 | 57 / 59 / 57 |
| Log-likelihood: log salary | −3,417.2 | −1,526.9 |
| Log-likelihood: which paid more | −3,414.1 | −1,527.2 |
| Log salary adds to 'which paid more' (p) | $<.001$ | .19 |
| 'Which paid more' adds to log salary (p) | $<.001$ | .31 |
| Fully remote vs the 17–33% gaps shown | below ($\approx$15[2]) | beyond the largest (33%) |

Raw shares are flat as other features vary too. Holding them fixed, PMEs respond more to larger pay gaps (p = .014), employers do not (p = .50): employer % magnitudes are weakly identified; PME magnitudes are model-based too. A lower asking salary may also signal quality. [1]PMEs: higher-paid offer; employers: cheaper candidate. [2]PMEs: vs onsite with a long commute. Grey = indicative.

Employers' pay-cut sizes rest on a weakly identified pay slope; the ranking is firmer.

◂ Employers

# Employer reservations: two preliminary contrasts

| Pay cut required, % of pay | Firms | 1–2 days | 3–4 days | Remote | Compressed |
|---|---|---|---|---|---|
| **Do most PME roles need on-site presence?** p = .025, q = .14 | | | | | |
| Yes, most roles | 137 | **52** | 60 | 67 | 1 |
| Only some or few | 260 | **3** | 25 | 40 | 8 |
| **Worried that creativity suffers when people are apart?** p = .14, q = .43 | | | | | |
| Yes | 201 | 24 | 44 | **61** | 18 |
| No | 196 | 15 | 28 | **36** | −3 |

- **The presence contrast is significant at the 5% level** (p = .025) but not after correcting for the 11 split tests (q = .14); the creativity contrast is not (p = .14).
- **Asked after the choices:** the answers may partly rationalise the hiring choices.
- **Separate pay slope for each group:** values are group-specific, so they are preliminary associations.

Pay cut employers would require of a candidate wanting the arrangement, % of pay (minus the model's WTP). p: test that the three location values are equal across the two groups; q: Benjamini–Hochberg over 11 split tests. Many values go beyond the pay gaps shown (17–33%): read the contrasts, not the sizes. All split tests.

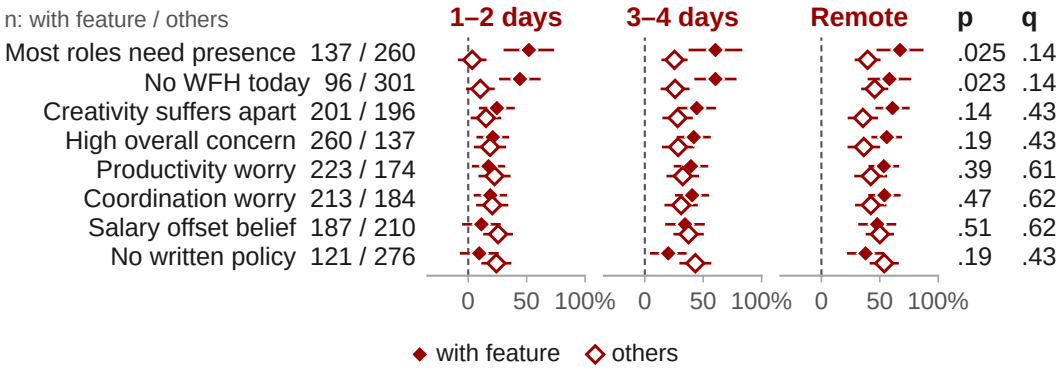
◂ Reservations

Backup index

Backup B30

# All employer splits

## Pay cut employers would require, % of pay




Pay cut required, 95% CI. Presence and no WFH today: p ≈ .02 each, q = .14 over all 11 split tests; creativity p = .14, q = .43. Preliminary: asked after the choices. Salary offset: agrees that offering FWAs reduces the salary needed to attract and retain PMEs (survey item).

Reservations

# Concerns are common; creativity tracks choices

| Employer view (agree = 4–5 of 5) | Agree, % | Linked to WFH choice? (p) | Reading |
|---|---|---|---|
| Worry staff are less productive at home | 56 | .40 | No detectable link |
| Hybrid creates coordination problems | 54 | .48 | No detectable link |
| Creativity suffers when people are apart | 51 | .068 | Weak link: agreeing firms require a 61% vs 36% pay cut for remote |
| High overall concern (index $>$ 3) | 65 | .36[1] | No detectable link |

p: joint test that agreeing firms choose WFH levels differently (creativity: n = 201 vs 196; q = .43 across the 11 employer split tests, so not significant after correction). [1]Mean of the three items; as a continuous index, p = .089. 75% agree with at least one. Associations, not causes.

Agree = 4–5 of 5. p: joint WFH test, one pay slope. Preliminary associations: items asked after the choices. Perceived vs true cost: not separable.

Reservations

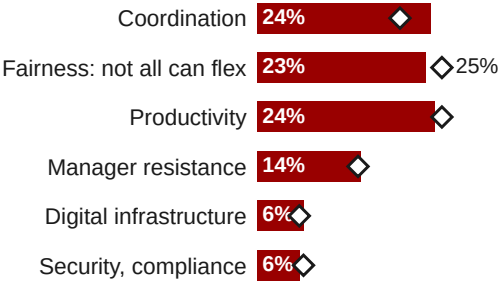
Backup index

Backup B32

# Employers: talent upside, practical hurdles

## Biggest FWA challenge

% of employers ◇ ≤200 staff (n = 175)




Other: 3%.

FWAs help attract, retain talent (agree)

66%

Unfair if frontline can't have FWAs (agree)

46%

Hard to fill PME vacancies (past year)

52%

12-month FWA plan — reduce 11% · unsure 6%

Expand 26% | Maintain 57%

Tech-ready for remote work — not ready 7%

Fully 40% | Partly 53%

We detect no size association in hiring choices; compressed-week offering rises with firm size (14, 18, 26%; p = .07). MOM (PQ, 10 Sep 2026): in 2025, nearly 7 in 10 SMEs and about 8 in 10 non-SMEs offered a scheduled FWA; definitions differ, so not comparable with the 66.4% series.

◂ Employers ◂ Reservations

Backup index

Backup B33

# Why we show no industry estimates

- Industry cells hold 4 to 60 employers (11 of 17 below 25); some intervals are wider than the scale.
- Four largest industries (ICT, finance, manufacturing, professional services): we detect no difference in WFH valuations ($p = .94$).
- Reservations are associated with role needs and concerns (presence; creativity), as preliminary associations under a common pay-slope model; industry differences cannot be ruled out.

Industry mix: Industries.

◂ Reservations

Backup index

Backup B34

# Raw choices, before any model

| | PMEs: flexible job | | Employers: flexible hire | |
|---|---|---|---|---|
| **% choosing it (n)** | **paid less** | **paid more** | **cheaper** | **dearer** |
| 1–2 days WFH | 27 (350) | 88 (170) | 48 (172) | 34 (90) |
| 3–4 days WFH | 23 (407) | 81 (167) | 39 (152) | 30 (73) |
| Fully remote | 43 (320) | 80 (116) | 39 (110) | 8 (37) |
| Staggered hours | 22 (921) | 76 (334) | 61 (315) | – |
| Compressed week | 24 (768) | 87 (122) | 60 (209) | 37 (41) |
| Reduced load / job sharing | 25 (641) | 80 (458) | 58 (239) | 32 (145) |
| Part-time | 28 (691) | 80 (223) | 40 (233) | 24 (164) |
| Chose the better-paid option[1] | 75 (6,120) | | 58 (2,382) | |
| Better on both other features, paid less | 28 (2,563) | | – | |

Arrangement vs its base (onsite, fixed hours or full-time). Pay differed by 17–33%; one other feature also varied.
[1] PMEs: higher-paid offer; employers: cheaper candidate. – = not in the design.

Raw choice shares; the other attribute varies and cells are fixed by version: read as direction.

◂ Two sides ◂ Employers

Backup index

Backup B35

# Compressed week: design balance, offering, use

## Design: usually the cheaper option

The lower-paid option in 83% of PME and 91% of employer pairs.

| % chosen if | cheaper | dearer |
|---|---|---|
| PMEs: compressed | 27.5 | 85.5 |
| PMEs: others | 24.9 | 75.1 |
| Firms: compressed | 67 | 37[c] |
| Firms: others | 56 | 44 |

**PMEs:** consistent with a positive value at either price. **Firms:** mixed; "no detectable penalty" rests mainly on cheaper candidates.

Operating costs unmeasured: pilot checklist.

## Surveyed firms offering it (70 of 397)

| Trait | % offer | OR [95% CI] |
|---|---|---|
| Written policy | 21.4 vs 9.1 | **2.41** [1.20, 4.87] |
| Offers part-time[a] | | **3.03** [1.67, 5.51] |
| Presence need | | 1.53 [0.88, 2.66] |
| Fully tech-ready | | 0.83 [0.48, 1.43] |
| Productivity concern[b] | | 1.61 [0.77, 3.37] |
| Hard to hire | 18.4 vs 16.8 | p = .69 |
| Size: ≤200 / 201–1,000 / 1,001+ | 13.7 / 17.9 / 25.6 | p = .066 |

**Surveyed PMEs:** access 21%; take-up 31%; career concern OR 0.86 [0.44, 1.67].

Logit on size, WFH now, policy, tech, presence (N = 397); ORs are not risk ratios; policy may follow offering. [a]With other offerings (policy OR 2.16 [1.04, 4.49]). [b]With concerns, talent view, hiring, turnover: ORs 0.75–1.61, p ≥ .16. [c]41 pairs.

◂ Compressed week ◂ Zones

Backup index

# A compressed-week pilot: checklist

## Design

- Same hours, four longer days; pay and leave unchanged
- Legal, contract and collective-agreement review
- Voluntary for firms and staff; reversible without penalty
- Eligibility; fairness to staff who cannot join

## Safeguards

- Service and coverage plan
- Fatigue, safety and care hours
- Workload spillovers
- Appraisal by output, not presence

## Evaluation

- Outcomes: output, operating costs, coverage, retention, take-up, worker experience
- Stop and scale criteria agreed with the partners in advance
- Independent evaluation with a comparison group; worker data only with consent, never for appraisal
- Publication rule: [PI to confirm]

---

**Why a pilot:** most promising common-ground test; evidence moderate; operating costs unmeasured.

**To agree:** number of firms, duration, comparison group, funder, data access, report-back date.

**Possible leads:** SNEF with volunteer firms; NTUC co-designs safeguards; TAFEP guidance.

Both surveys: the same total hours over fewer, longer days. The hiring choices did not record rostering, coverage or fatigue.

◂ Compressed week ◂ Options

Backup index

Backup B37

# Flexi-load: mostly pay for hours

**Model-dependent; not a pay recommendation and not a main finding.**

| | Reduced load / job sharing[1] | Part-time |
|---|---|---|
| PMEs: pay given up, % of pay (95% CI) | ≈6 (3–9) | ≈4 (1–7) |
| Employers: pay cut required, % | ≈24 | 36 |
| Gap, % of pay | ≈18 | ≈32 |
| Employed PMEs using it, % | 6 | 4 |
| Take-up with access, %[2] | 27 | 26 |

Hours change while pay is per month, so these values are mostly pay for hours (employers' cuts ≈ pro-rata), not a flexibility premium. [1]Employers saw "reduced load", PMEs "job sharing". [2]Among employed PMEs with access. Grey = indicative.

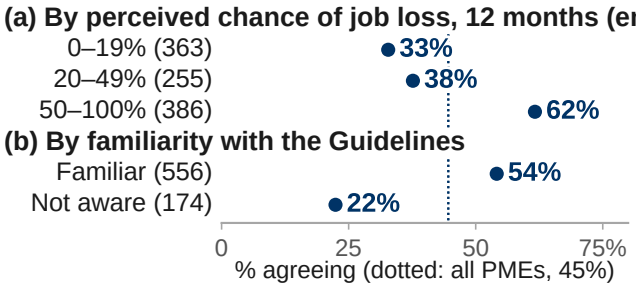
4 of 5 days = 20% fewer hours, so employer discounts near pro-rata show no sign of an extra flexibility penalty. Part-time draws a larger required cut (about 36%) because it cuts more hours. MOM is reviewing the PTRG for flexi-load (COS 2026); part-time context.

◂ Options ◂ Reservations

Backup index

Backup B38

# Who expects a career penalty?




### (c) Formal request reported (employed, aware)

Expecting a penalty is associated with **+15 pp [9, 20]** after controls.

Full approval: no detectable difference (p = .44).

(c) Request item partly misread; asking may shape the belief.

Job-loss chance: a relative index, not a probability. Associations, not causes.
(b) Gap about halves with formal requests held fixed.

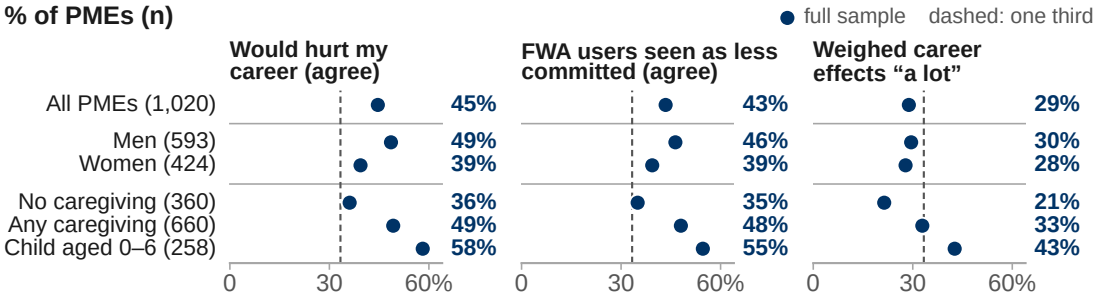
**Parents of 0–6s:** +12 pp after controls (p = .001). **MOM:** about 6% of resident FWA users reported a setback in 2025 (reported experience, not expectation).

Agree (4–5 of 5) that shorter or more flexible hours would hurt their career: 45% of surveyed PMEs. Job loss: self-rated 12-month chance. MOM PQ 2936 (9 Sep 2026); not comparable. Chart.

◂ Barriers ◂ Career concerns

Backup index

# Over a third of surveyed PMEs expect a career penalty




Career item, adjusted: child 0–6 +12 pp (p = .001), any caregiving +9 pp (p = .01).
Other gaps not tested. PAP–NTUC survey (Nov–Dec 2025): 36% named stigma their primary concern.

Agree = 4–5 of 5: an expected penalty, not a reported setback. PAP–NTUC survey: all workers, not PMEs. Who expects it.

◂ Barriers ◂ Why PMEs

Backup index

Backup B40

# What we can say about the Guidelines

## What we observe (2026)

- Familiar: 55% of surveyed PMEs, 29% of juniors, 58% of employers
- Of PMEs reporting a formal request, 4% were declined (7%, stricter definition): a lower bound
- More FWAs came via company policy (43%) than individual request (30%)
- Aware firms with a written policy got more requests (68% vs 19%; an association)

## What we cannot say

- Whether the Guidelines changed outcomes (no before-and-after)
- National rates (unweighted panels)
- Why PMEs do not ask (not asked)
- How firms decide staff requests (experiment: hiring)

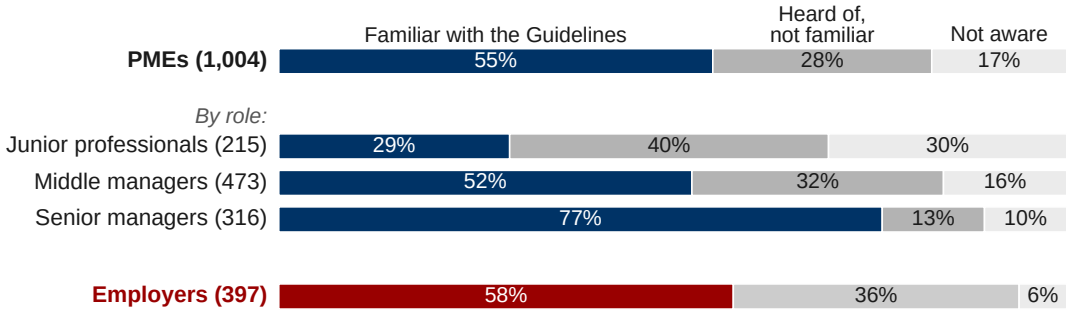
See two views, table, awareness.

◂ Barriers

Backup index

Backup B41

# Awareness is wide but shallow




PMEs: employed (n). Unweighted.
PAP–NTUC survey's 58% aware: not comparable.

PAP Women's Wing–NTUC survey (online, Nov–Dec 2025; sampling not published): 58% aware; 29% know where to turn if a request is denied or mishandled.

Barriers

# Same process, two vantage points

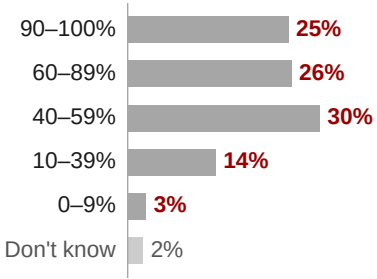
## PMEs reporting a formal request

Reported outcome, %




## Employers: share of requests approved

(n = 203)




Unweighted.

**MOM, for comparison (definitions differ):** ≈94% approved (2024 data, almost entirely before the Guidelines). After use, ≈6% of resident FWA users reported a career setback (2025): experience, not PMEs' expectation.

Different questions: PMEs report their own request; employers, their firm's approval share. Gaps may reflect partial approvals, firm vs individual rates, or managers' partial view.

Barriers

Backup index

# Request outcomes in detail

| PMEs' own request (n = 547) | % | Employers: share of requests approved (n = 203) | % |
|---|---|---|---|
| Fully approved | 64 | Nearly all (90–100%) | 25 |
| Partially approved | 32 | Most (60–89%) | 26 |
| Declined | 4.4 | About half (40–59%) | 30 |
| Declined, excl. automatic FWAs[1] | 6.9 | Some (10–39%) | 14 |
| | | Few (0–9%) | 3 |
| | | Don't know | 2 |

Different questions: PMEs report their own request; employers, the share of all requests approved (partial approvals, firm-wide rates and managers' partial view may explain why). MOM's survey for 2024 also finds most requests approved (populations and definitions differ). Both concern existing staff, not hiring. [1]Excl. PMEs whose FWA applies automatically by company policy (base n = 317): the declined share is likely a lower bound.

Many PMEs with automatic FWAs reported a formal request (why); both sides cover only requests made. MOM comparators: two views.

◂ Barriers

Backup index

Backup B44

# Why no headline request rate

| Base | n | Made a formal request, % |
|---|---|---|
| Employed and aware of the Guidelines | 832 | 65.7 |
| All employed (not aware = no request) | 1,004 | 54.5 |
| FWA automatic by company policy | 318 | 72.3 |

Most PMEs whose FWA came automatically by company policy also said they made a formal request, so the share is not headlined.

The item left “formal” undefined, with no “automatic” option. MOM (2024 data): 18.5% of employees who needed an FWA made a formal request.

◂ Barriers

Backup index

Backup B45

# Limits in detail

| Limit | What it means | Next step |
|---|---|---|
| **Pay gaps 17–33%** | % of pay is model-based; employers weakly pay-sensitive (cheaper won 58%) | A small-gap wave |
| **60 design cells** | 10 versions $\times$ 6 tasks per side: intervals likely too narrow | Cluster by version |
| **Compressed week** | Cheaper in 83% (PME) and 91% (employer) of its pairs | Balance pay positions |
| **Employer splits** | Preliminary associations, asked after the choices | Ask these items before the choices |
| **Employer task** | A hire, not a staff request; not an operating cost | Pilots that record operations |
| **Samples** | Unweighted panels, mostly large firms | Items in MOM surveys |
| **Request item** | Misread; refusals among askers only; no why-not item | Option D items |

Also: stated choices (SNEF use known); no before-and-after; 12% of salaries capped; task-1 coding. Choice results hold without outliers or same-side respondents. Next steps.

◂ Limits ◂ Robustness

Backup index

# Sharpening the evidence

## Before publication

- Employer role and concern items asked before the choices
- Add a position term; fix early task-1 coding
- Cluster by survey version; wild bootstrap
- Log vs rank salary models
- Code open-text comments (68% of PMEs, 58% of employers wrote one)

## A follow-up wave, if supported

- Small pay gaps (0–15%) for precise prices
- Balance the compressed week across pay positions
- Ask why people do not request; reword the request item, with partial approval
- Information module (trial evidence; Guidelines; career outcomes)
- One short survey of the 490 PMEs (48%) who agreed; more needs fresh consent (follow-up)

◂ Limits ◂ Options

Backup index

Backup B47

# Follow-up design, if supported

| | Aim 1: do stated choices predict behaviour? | Aim 2: what changes in firms that adopt? |
|---|---|---|
| **Outcomes** | FWA take-up, job moves, promotion, appraisal vs each PME's choices | Productivity, retention, hires, exits in volunteer pilot firms (Option A or C), vs a comparison group |
| **Consent now** | 490 of 1,020 PMEs (48%) agreed to one short (about 5-minute) survey in 6–12 months (Feb–Aug 2027) | None: the employer survey asked no re-contact question |
| **Partner roles** | **NTUC:** reach members beyond online panels; **MOM:** linkage only with fresh consent, under its data rules | **SNEF:** recruit fresh volunteer member firms; **MOM:** firm linkage only with consent |
| **Templates** | Maestas et al.: 56% matched up to 3 years later (validity) | Trip.com hybrid trial: quits fell 7.20% to 4.80%; German LPP: consented employer–employee linkage, six waves 2012–2024 |

**Consent scope:** 490 PMEs consented to one short survey in 6–12 months; further waves, linkage and firm-side work require fresh consent.

**Data owner, funder and publication:** [PI to confirm] (governance).

Consenters lean to caregivers (52.6% vs 39.7% agreed).

Conclusion

Backup index

Backup B48

# Option A: put compressed weeks on the menu and test them

**Zone:** A, common ground **Strength:** moderate; operating costs unmeasured

## The evidence

PMEs would give up about 7% of pay for it; employers would require about 7% (wide interval): no detectable gap. 1 surveyed firm in 6 offers it, more often with a written policy (21% vs 9%). It was the cheaper option in 83% (PME) and 91% (employer) of its pairs.

## Owner and first step

**SNEF**, with volunteer member firms: put it on the written menu and test it in a bounded, evaluated pilot (checklist). **NTUC:** co-design safeguards. **TAFEP:** guidance.

## Builds on

TAFEP and IHRP resources; SNEF guidance on FWA requests.

## What it is not

Not shorter hours (same hours, four longer days), a mandate or a case for lower pay; not shown to be costless.

## What to watch

Output, coverage, rostering, fatigue; take-up where available (31%).

Associations, not causes: a policy may follow offering. Hiring choices do not measure operating costs.

◂ Options ◂ Puzzle

Backup index

# Option B: fit arrangements to the role, with flexi-load

**Zone:** B, depends on the role **Strength:** moderate; preliminary associations

## The evidence

Where most roles need presence, firms would require a pay cut of about 52% for 1–2 WFH days (3% elsewhere), against about 1% for a compressed week. Presence: p = .025 (q = .14 over 11 split tests; preliminary).

## Owner and first step

**Firms**, with SNEF: review which tasks need presence; a compressed week may fit where WFH does not; use flexi-load where fewer hours, not location, address the need. Job Redesign+: up to 70% of qualifying costs for SMEs, 50% for others. **MOM:** PTRG review.

## Builds on

EWTP (Mar 2026), linked by MOM to FWAs.

## What it is not

Not one-size-fits-all; not a quota.

## What to watch

Fairness to staff without FWAs (top challenge, $\leq$200 staff); part-time access (COS 2026: under half who needed it got it).

Associations; asked after the choices. Flexi-load.

◂ Options ◂ Reservations

Backup index

Backup B50

# Option C: a 3–4-day WFH pilot where roles allow

**Zone:** C, far apart **Strength:** exploratory

## The evidence

Employers would require pay cuts of about 36% for 3–4 WFH days and 49% for fully remote work (PMEs would give up 10% and 15%). Fully remote draws about 61% where firms worry that creativity suffers apart, against 36% elsewhere (a weak association, $p = .14$; preliminary). Abroad, a six-month hybrid trial cut quits by a third.

## Owner and first step

**Volunteer firms**, with SNEF and NTUC: a 3–4-day WFH pilot in roles without presence needs; outcomes agreed upfront; independent evaluation; stop criteria set in advance. Convenor, funding and publication rule: for the partners.

## Builds on

Trials abroad (managers' productivity view: −2.6% to +1.0%).

## What it is not

Not a push for fully remote work (mixed evidence; some studies find lower productivity); not a mandate; no pay change.

## What to watch

Output, retention, collaboration; whether managers' concerns are borne out.

Bloom, Han & Liang (2024); Barrero, Bloom & Davis (2023); Emanuel & Harrington (2024).

◂ Options ◂ Two sides

Backup index

Backup B51

# Option D: why-not-request and partial-approval items

**Zone:** all (measurement) **Strength:** gap documented

## The evidence

Firms need not report requests to MOM; in MOM's survey, 18.5% of those needing an FWA made a formal request (data for 2024). MOM publishes request rates, not reasons; our survey had no why-not item, and our request item was partly misread. Of PMEs reporting a request, about 4% were declined (a lower bound) and 32% partly approved. 45% expect a career penalty; it goes with more requests, not fewer.

## Owner and first step

**MOM (MRSD)**, with NTUC and SNEF: check its survey, then add the items not yet asked: why those who need an FWA do not ask, and whether a request was approved in full, with changes, or declined (draft).

Surveyed samples, unweighted.

## Builds on

MOM's employee survey; partners' outreach channels.

## What it is not

Not a new reporting duty for firms; not an evaluation of the Guidelines.

## What to watch

Partial approvals; junior PMEs' awareness (29% familiar); expected penalty vs MOM's reported setbacks ($\approx$6% of FWA users, 2025).

◂ Options ◂ Barriers

Backup index

Backup B52

# Option D: draft survey items

### First step (employees)

1. **Why not ask:** if you needed an FWA but did not request one, why not? (career concern; did not know how; expected refusal; automatic)
2. **Outcome:** approved as requested / with changes / declined.

### Also (employees)

3. Formal request: add “applies automatically”.
4. Guidelines awareness; would flexible work affect your career?

### Later, if partners agree (establishments)

5. Any formal FWA request in the past 12 months?
6. Share approved as requested, with changes, or declined?
7. Roles needing on-site presence: which arrangements are offered?

Draft for MRSD, to check against EWC and CoE questionnaires; item 1 appears new. Employee items first; any establishment items would sit in existing MOM surveys, for the partners to decide. Option D.

◂ Options ◂ Conclusion

Backup index

# Technical: all 11 employer split tests

| Split | Firms | p | q |
|---|---|---|---|
| No WFH now | 96 / 301 | .023 | .14 |
| Presence need | 137 / 260 | .025 | .14 |
| Creativity concern | 201 / 196 | .14 | .43 |
| Concern index | 260 / 137 | .19 | .43 |
| Written policy | 276 / 121 | .19 | .43 |
| Hiring role (3 groups) | 84 / 122 / 170 | .36 | .61 |
| Productivity concern | 223 / 174 | .39 | .61 |
| Coordination concern | 213 / 184 | .47 | .62 |
| Salary offset | 187 / 210 | .51 | .62 |
| Firm size (3 bands) | 175 / 140 / 82 | .63 | .66 |
| Tech readiness (3 levels) | 29 / 209 / 159 | .66 | .66 |

Technical appendix, not for projection. p: test that the three location pay-cut values (1–2 days, 3–4 days, fully remote) are equal across the groups, with a separate pay slope per group; q: Benjamini–Hochberg over the 11 tests. Items asked after the choices: preliminary associations.

◂ Reservations

Backup index

Backup B54

# Public wording

## We say

- PMEs strongly prefer hybrid work: about 7–10% of pay, indicative, never a pay cut.
- Employers would require larger pay cuts than PMEs would give up for most arrangements; for the compressed week the two are about equal.
- Hiring: no detectable gap for a compressed week; fully remote draws the largest cut (a ranking).
- Reservations: 1–2 WFH days where most roles need presence; remote with the creativity concern; preliminary (asked after the choices).
- Compressed week: most promising common-ground test; evidence moderate; operating costs unmeasured.
- Over a third of surveyed PMEs expect a career penalty; refusals are a lower bound.

## We avoid

Pay values as a proposed pay cut, or employer cut sizes as a price (read the ranking); a request rate; “easy”, “low cost”, “no cost”, “indifferent”; associations or nulls as causes or proof; Guidelines effects on provision, requests or approvals.

◂ Two sides ◂ Conclusion

Backup index

Backup B55

# Employer % of salary

**Model-dependent; not a pay recommendation and not a main finding.**

| Candidate (vs base) | Pay cut, % | 95% CI | Status |
|---|---|---|---|
| 1–2 days WFH (onsite) | 20 | 10 to 30 | Direction robust |
| 3–4 days WFH (onsite) | 36 | 26 to 46 | |
| Fully remote (onsite) | 49 | 39 to 58 | |
| Staggered hours (fixed hours) | 10 | 0 to 20 | *not robust* (version clusters) |
| Compressed week (fixed hours) | 7 | −5 to 19 | No detectable reservation; mostly the cheaper candidate |
| 4-day reduced load (full-time) | 24 | 15 to 32 | ≈ pro-rata for fewer hours |
| Part-time (full-time) | 36 | 27 to 44 | ≈ pro-rata for fewer hours |
| High turnover risk >20% (<10%) | 31 | 21 to 42 | Benchmark |
| Moderate turnover risk 10–20% (<10%) | 5 | −5 to 15 | Robust: no detectable reservation |

Pay cut at which the model predicts a 50:50 hiring choice (positive = cut required). Weakly identified: a cheaper-candidate indicator fits as well as log salary (why). Pay gaps shown: 17–33%; larger values extend beyond them. Grey = indicative.

Firmer result: the ranking of the pay cuts.

◂ Employers

Backup index

Backup B56

# Gap, % of pay: indicative

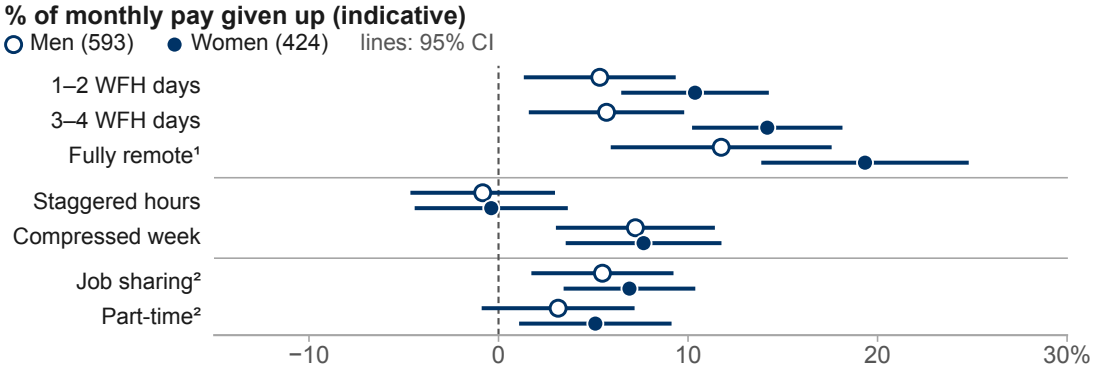
**Model-dependent; not a pay recommendation and not a main finding.**

| Arrangement | PMEs give up, % | Employers require, % | Gap, points | Zone |
|---|---|---|---|---|
| Compressed week | 7 [4, 10] | 7 [−5, 19] | 0 [−13, 12], n.s. | A: common ground |
| 1–2 days WFH | 7 [5, 10] | 20 [10, 30] | 12 [2, 23] | B: depends on the role |
| 3–4 days WFH | 10 [7, 12] | 36 [26, 46] | 26 [16, 37] | C: far apart |
| Fully remote[1] | 15 [11, 19] | 49 [39, 58] | 34 [23, 44] | C: far apart |
| Staggered hours | −1 [−3, 2] | 10 [0, 20] | 11 [0, 21] | Little at stake |
| Job sharing / reduced load[2] | 6 [3, 9] | 24 [15, 32] | 18 [9, 26] | Pay for hours |
| Part-time[2] | 4 [1, 7] | 36 [27, 44] | 32 [23, 40] | Pay for hours |

**Zones are descriptive; numbers are indicative.** % of pay, 95% CI. Gap = employers' cut minus PMEs' give-up (positive = friction). Employer values above 33 go beyond the pay gaps shown. n.s. = not significant at 5%. [1]PMEs: vs onsite with a long commute; includes the end of commuting. [2]Mostly pay for fewer hours. Grey = indicative.

Two sides

# Estimates by gender

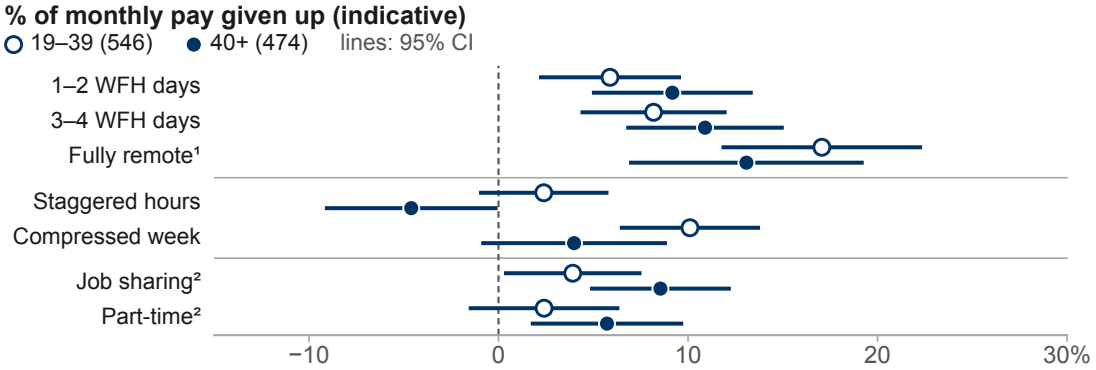



¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

No statistically significant gender difference (joint test p = .43). All groups.

PME groups

# Estimates by age




¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

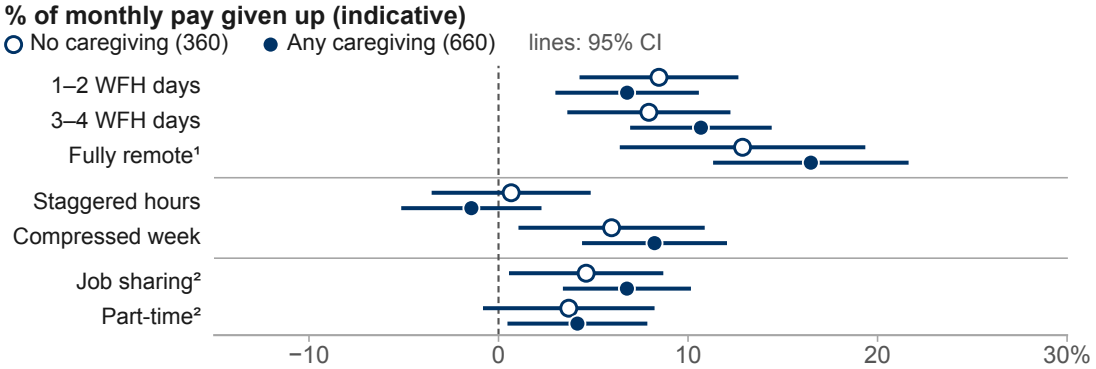
Ages 19–39 vs 40+; not statistically significant (joint test p = .09). All groups.

PME groups

Backup index

Backup B59

# Estimates by caregiving

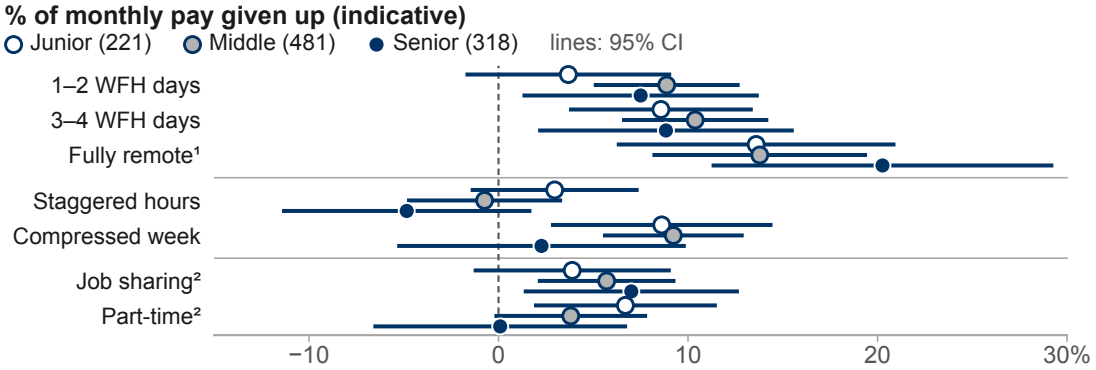



¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

No caregiving vs any; not statistically significant (p = .66). All groups.

PME groups

# Estimates by role level

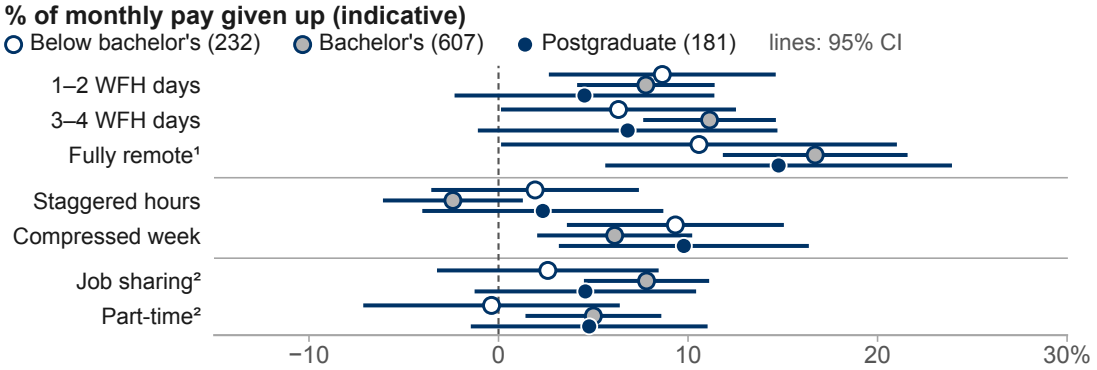



¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

Junior, middle and senior; not statistically significant (p = .15). All groups.

PME groups

# Estimates by education




¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

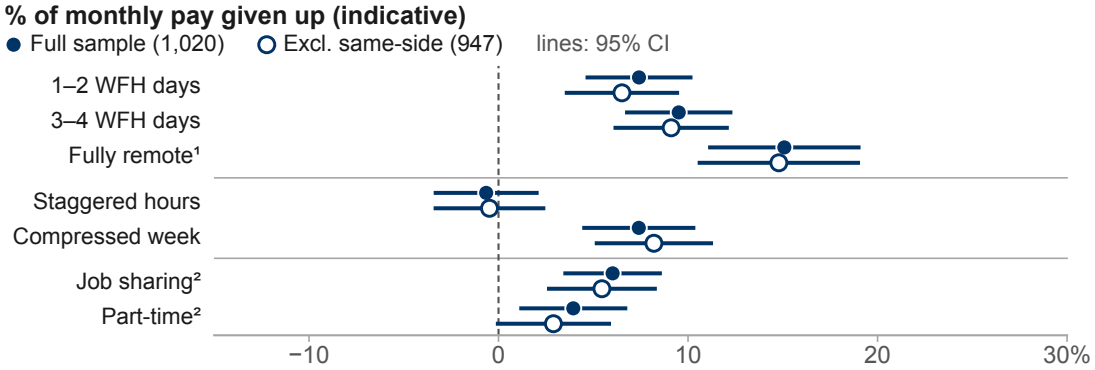
Three education levels; not statistically significant (p = .56). All groups.

PME groups

Backup index

Backup B62

# Without same-side respondents

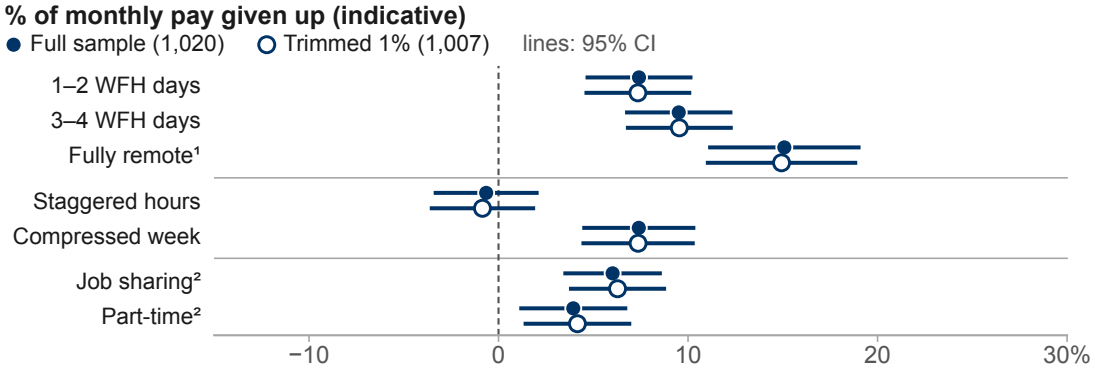



¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

Drops 73 PMEs who always picked one side; location and compressed-week values move ≤1 point. PME checks.

Robustness

# Trimming extreme salaries




¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

Drops the top and bottom 1% of salaries. PME checks.

Robustness

Backup index

Backup B64